Annual Department Budget Allocation Report

Organization: Meridian Technologies

Document ID: FIN-004

Version: 1.0

Department: Finance

Team: Budget & Planning

Created Date: January 5, 2026

Last Updated: October 18, 2026

Classification: Restricted Financial Information

1. Executive Summary

This report outlines the annual operating budget allocated to the five departments of Meridian Technologies for the 2026 financial year.

The Finance department is responsible for monitoring expenditure, reviewing departmental budget utilization and identifying financial deviations.

The total approved annual operating budget is ₹2,40,00,000.

2. Departmental Budget Allocation

Department	Annual Allocation
Human Resources	₹35,00,000
Engineering	₹85,00,000
Finance	₹30,00,000
IT and Security	₹55,00,000

Operations	₹35,00,000
Total	**₹2,40,00,000**

Engineering receives the largest allocation because of software development, infrastructure and technical research requirements.

3. Engineering Expenditure

The Engineering allocation is divided into the following categories:

Expense Category	Budget
Software development resources	₹30,00,000
Cloud infrastructure	₹20,00,000
Research and development	₹15,00,000
Testing and quality assurance	₹8,00,000

Technical training	₹5,00,000
Contingency	₹7,00,000
Total	**₹85,00,000**

4. IT and Security Expenditure

The IT and Security department receives ₹55,00,000.

Its major expenditure categories include:

- Infrastructure equipment: ₹18,00,000.
- Security monitoring: ₹12,00,000.
- Backup and recovery: ₹8,00,000.
- Software licensing: ₹10,00,000.
- IT support operations: ₹7,00,000.

5. Budget Monitoring

Department heads must submit monthly expenditure summaries to Finance.

Budget utilization is calculated as:

Budget Utilization (%) = (Actual Expenditure / Approved Budget) × 100

Expenditure exceeding 90% of the annual departmental allocation must be reviewed by Finance.

Any projected overspending requires a written explanation and additional authorization.

6. Budget Revision

Departments may request budget revisions when operational requirements change significantly.

Requests must include the reason, revised expenditure estimate and effect on existing allocations.

The Budget & Planning team evaluates the request before forwarding it for approval.

Budget transfers between departments require Finance Director approval.

7. Financial Risk Observations

The Finance department identified the following planning risks:

- Increasing cloud infrastructure expenditure within Engineering.
- Unexpected cybersecurity licensing costs.
- Delays in vendor invoice processing.
- Additional recruitment expenditure.
- Emergency operational expenses.

Departments must maintain expenditure records to support financial forecasting.

8. Confidentiality and Access Control

This report contains confidential departmental budget allocations.

Authorized user:

- USR-00007 — Meera Iyer — Budget & Planning.

Other Finance employees must not automatically receive access to restricted annual allocation records.

9. Related Documents

- FIN-001: Quarterly Financial Planning and Expense Report
- FIN-002: Employee Expense Reimbursement Policy
- FIN-003: Procurement and Purchase Approval Policy
- OPS-002: Vendor Management Framework

10. Version History

Version	Date	Description
1.0	2026-01-05	Initial annual budget report

Document Owner: Finance Manager